

FINTRUST BANK LIMITED

Compliance Function

COMPLIANCE MANUAL

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FinTrust Bank Limited is a fictional institution. This document is synthetic material created for demonstration and training purposes and has no legal effect.

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Status of this document. This Manual is the Bank's primary compliance document and is paramount over every product policy in respect of the matters it governs. Where a product policy states a compliance requirement, that statement reproduces the standard set here. Where a product policy is silent, this Manual applies. Where a product policy conflicts with this Manual, this Manual prevails and the conflict is reported under paragraph 21.6 as an error to be corrected. A product policy may impose a stricter requirement; where it does, the stricter requirement applies.

Binding effect. This Manual binds every director, officer and employee of the Bank, and every agent, correspondent, service provider and third party operating in the Bank's name. Obligations placed on a party who is not an employee are to be incorporated into the agreement executed with that party, and the Bank remains responsible for compliance notwithstanding the engagement.

Interpretation. Words importing the singular include the plural. A reference to a Section or a paragraph is a reference to a Section or paragraph of this Manual. A reference to a customer includes a prospective customer where the context requires. Headings are for convenience only and do not affect interpretation.

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1. Purpose and Status of this Manual

1.1 Purpose

This Compliance Manual ("the Manual") sets out the framework within which FinTrust Bank Limited ("FinTrust" or "the Bank") identifies, assesses, manages and reports on its compliance obligations. It establishes the Compliance function, defines the obligations that apply across every product and channel of the Bank, and prescribes the standards of conduct binding on every person who acts for the Bank.

1.2 Status and Precedence

This Manual is the Bank's primary compliance document. Every product policy of the Bank is subordinate to it in respect of the matters it governs.

Where a product policy states a compliance requirement — including customer due diligence, risk categorisation, beneficial ownership, sanctions screening, transaction monitoring, reporting, record retention, fair practices or data protection — that statement is a reproduction of the standard set in this Manual and is to be read as such. Where a product policy is silent on a compliance matter, this Manual applies. Where a product policy conflicts with this Manual, this Manual prevails and the conflict shall be reported under paragraph 21.6 as an error in the product policy to be corrected at its next review.

A product policy may impose a requirement stricter than this Manual. Where it does, the stricter requirement applies to that product, and this Manual is not to be relied upon to relax it.

1.3 Objectives

- To ensure that the Bank knows, at all times and in a single place, what it is required to do and who is accountable for doing it.
- To ensure that the Bank knows who its customers are, who ultimately controls them, and where their money comes from, in proportion to the risk each presents.
- To ensure that the Bank does not become, knowingly or through indifference, a route through which the proceeds of crime are moved or terrorism is financed.
- To ensure that the Bank does not deal with a person with whom dealing is prohibited.
- To ensure that customers are treated fairly, that their information is protected, and that the Bank's conduct would withstand examination.
- To ensure that a person who raises a concern in good faith is protected, and that a breach is reported honestly and promptly rather than managed quietly.
- To ensure that the Compliance function is independent, adequately resourced, and able to say no.

1.4 Guiding Principles

Compliance is a line responsibility. The Compliance function designs, advises, monitors and reports. It does not thereby relieve any business unit of responsibility for compliance in what that unit does.

Proportionate, not uniform. Due diligence, monitoring and control are applied in proportion to assessed risk. Applying the same intensity to every customer is a failure of judgement, not a demonstration of prudence.

Discomfort is not a reason to defer. A compliance conclusion that is commercially unwelcome is recorded and acted upon in the same terms as one that is not.

Say it early. A breach reported late is a second breach. The Bank's interest is served by disclosure, not by delay.

No customer is a category. Risk attaches to conduct, structure and circumstance. It does not attach to a person's identity, and the framework in this Manual shall not be applied as though it did.

2. Scope and Applicability

2.1 Scope

This Manual applies to every business, product, channel, process and location of FinTrust Bank Limited, and to every activity carried on in the Bank's name.

2.2 Persons Bound

The Manual binds:

- Every director, officer and employee of the Bank, whether permanent, probationary, contractual, on deputation or on secondment.
- Every business correspondent, direct selling agent, lending service provider, recovery agent, dealer, panel professional, technology service provider and outsourced service provider engaged by the Bank.
- Every third party operating a branded, co-branded or white-labelled FinTrust service.

The obligations placed on a party who is not an employee shall be incorporated into the agreement executed with that party, and the Bank remains responsible for compliance notwithstanding the engagement.

2.3 Relationship with Product Policies

The following product policies are subordinate to this Manual and are to be read with it: the Savings Account Policy, the Current Account Policy, the Salary Account Policy, the Fixed Deposit Policy, the Recurring Deposit Policy, the Debit Card Policy, the Credit Card Policy and Terms and Conditions, the Personal Loan Policy, the Home Loan Policy, the Vehicle Loan Policy and the Digital Banking Policy, together with any policy hereafter approved.

2.4 Conflict and Precedence

In the event of conflict between this Manual and any statutory provision, regulatory direction or judicial order, the latter prevails and this Manual is deemed amended to that extent from the date the external requirement takes effect. In the event of conflict between this Manual and any internal circular, this Manual prevails unless the circular expressly records that it has been approved as an amendment under Section 22.

3. Definitions

Beneficial Owner means the natural person who ultimately owns or controls a customer, or on whose behalf a transaction is conducted, determined in accordance with Section 7.

Compliance Obligations Register means the record maintained under Section 5 of every external obligation applicable to the Bank and the person accountable for it.

Compliance Risk means the risk of legal or regulatory sanction, financial loss, or loss of reputation arising from a failure to comply with an applicable obligation.

Customer Due Diligence (CDD) means the process of identifying a customer, verifying that identity from reliable and independent sources, identifying the beneficial owner, and understanding the nature and purpose of the relationship.

Designated Director means the director designated to ensure overall compliance with the Bank's anti-money laundering obligations.

Enhanced Due Diligence (EDD) means the additional measures applied under Section 8 where risk is assessed as high.

Financial Intelligence Authority means the authority to which the Bank is required to file the reports described in Section 13.

Officially Valid Document (OVD) means a document accepted for establishing the identity and address of an individual, as listed in Annexure A.

Politically Exposed Person (PEP) means an individual entrusted with a prominent public function, and includes their close relatives and close associates.

Principal Officer means the officer responsible for reporting under Section 13.

Regulatory Breach means a failure to meet an obligation in the Compliance Obligations Register, classified under Annexure D.

Suspicious Transaction means a transaction which gives rise to a reasonable ground of suspicion that it involves the proceeds of crime, or is otherwise of the character described in paragraph 13.4.

Tipping Off means disclosing to a customer or any other person that a report has been or may be filed, or that an account or transaction is under investigation.

4. The Compliance Function

4.1 Independence

The Compliance function is independent of the business. It shall not be given any responsibility that would require it to assess its own work, shall not carry a revenue target, and shall not report to any officer with a revenue responsibility.

4.2 The Chief Compliance Officer

The Bank shall have a Chief Compliance Officer of sufficient seniority, appointed by the Board on the recommendation of the Audit Committee, for a fixed term of not less than three years. The appointment, the removal before the expiry of the term, and the transfer of the Chief Compliance Officer to another role each require the prior approval of the Board, and any premature removal or transfer shall be reported to the regulator with reasons.

The Chief Compliance Officer reports functionally to the Audit Committee and administratively to the Managing Director, has direct and unimpeded access to the Board, the Audit Committee and their chairmen, and shall meet the Audit Committee without management present at least once each quarter.

4.3 Eligibility and Disqualification

The Chief Compliance Officer shall not concurrently hold responsibility for any business line, for internal audit, or for any function whose work Compliance is required to assess. A person who has been subject to a disciplinary finding for a conduct matter shall not be appointed.

4.4 Resources

The Compliance function shall be staffed and resourced adequately for the Bank's size, complexity and risk profile. The Chief Compliance Officer shall assess the adequacy of resources annually and report the assessment to the Audit Committee, including any shortfall and its consequences. A shortfall recorded by the Chief Compliance Officer shall not be edited or moderated by management before it reaches the Committee.

4.5 Authority

The Compliance function may:

- Access any record, system, premises or person of the Bank without notice.
- Require any business unit to produce information, and set the time within which it is produced.
- Attend any internal meeting or committee.
- Withhold approval of a new product, process, channel or outsourcing arrangement under paragraph 5.5.
- Direct that an activity be suspended pending assessment, where continuing it would in the Chief Compliance Officer's opinion breach an applicable obligation. Such a direction takes effect immediately and may be reversed only by the Managing Director in writing with reasons, which shall be reported to the Audit Committee at its next meeting.

4.6 Escalation Without Filter

Any member of the Compliance function may escalate a matter to the Chief Compliance Officer, and the Chief Compliance Officer may escalate to the Audit Committee, without the knowledge or approval of any other officer. A person shall not be subject to any detriment for having done so.

4.7 Designated Director and Principal Officer

The Board shall designate a director as the Designated Director and shall appoint a Principal Officer of sufficient seniority for the purposes of Section 13. Neither role may be held by a person carrying a revenue responsibility. The names and particulars of both shall be furnished to the Financial Intelligence Authority and updated within seven days of any change.

4.8 Annual Compliance Risk Assessment

The Chief Compliance Officer shall conduct an annual compliance risk assessment covering every business, product, channel and location, assessing inherent risk, the adequacy of controls and the residual risk. The assessment shall determine the testing plan under Section 21 and shall be placed before the Audit Committee and the Board.

5. The Regulatory Universe

5.1 Compliance Obligations Register

The Compliance function shall maintain a Compliance Obligations Register recording, for every obligation applicable to the Bank: the source, the substance of the obligation, the business or function accountable for it, the control relied upon, the frequency of testing, and the date of last assessment.

The Register is the authoritative statement of what the Bank is required to do. An obligation not in the Register is not thereby inapplicable, and the omission is itself a control failure to be recorded.

5.2 Horizon Scanning

Compliance shall monitor for new and amended obligations, shall assess each within ten business days of publication for applicability and impact, and shall record the assessment. Where an obligation requires action, Compliance shall assign it to a named owner with a date, and shall track it to completion.

5.3 Implementation

Where a new obligation takes effect before the affected policy can be amended, Compliance shall issue an interim instruction stating what is required from the effective date. The interim instruction has the force of policy until the policy is amended, and the amendment shall follow at the next review.

5.4 Attestation

The head of each business and function shall attest half-yearly that the obligations assigned to them in the Register have been complied with, or shall identify each instance of non-compliance. An attestation shall not be given by a person who has not satisfied themselves of its accuracy, and a false attestation is a disciplinary matter.

5.5 New Product and Process Approval

No new product, material product variant, channel, process or outsourcing arrangement shall be launched without the written approval of Compliance. Compliance shall assess the proposal against the Register, identify the obligations engaged, and either approve, approve with conditions, or withhold approval with reasons.

Where Compliance withholds approval, the proposal shall not proceed. The decision may be referred to the Managing Director, and if the Managing Director directs that it proceed notwithstanding, the direction shall be in writing with reasons and shall be placed before the Audit Committee at its next meeting.

6. Customer Due Diligence

6.1 When Due Diligence Is Required

Customer due diligence shall be carried out:

- Before establishing a relationship or opening an account.
- Before carrying out an occasional transaction above the prescribed threshold, or a series of connected transactions that together exceed it.
- Whenever there is a doubt about the veracity or adequacy of information previously obtained.
- Whenever there is a suspicion of money laundering or terrorist financing, regardless of any threshold or exemption.
- At the intervals prescribed for periodic updation under Section 9.

6.2 Elements

Due diligence comprises: identifying the customer and verifying that identity from reliable and independent sources; identifying the beneficial owner under Section 7 and taking reasonable measures to verify that identity; obtaining information on the purpose and intended nature of the relationship; and conducting ongoing monitoring under Section 12.

6.3 Acceptable Documents

The documents acceptable for the identification of an individual are listed in Annexure A. Verification may be effected by physical examination of originals, by electronic verification against an authorised database with the customer's consent, or by video-based customer identification conducted in accordance with the Digital Banking Policy.

In every case the officer completing verification shall record the method used and shall attest that the originals were examined, or that electronic verification succeeded, or that a video-based identification was completed and by whom.

6.4 Non-Individual Customers

For a customer that is not an individual, the Bank shall additionally obtain the constitutional documents, evidence of legal existence from the relevant registry, the resolution or authority under which the relationship is established, and full due diligence on every authorised signatory and every beneficial owner. The documents required for each constitution are listed in the Current Account Policy and reproduced in Annexure A.

6.5 Where Due Diligence Cannot Be Completed

Where the Bank is unable to complete due diligence, it shall not establish the relationship, shall not carry out the transaction, and shall terminate an existing relationship where one has been established. In every such case the officer shall consider whether the circumstances give rise to a suspicion requiring a report under Section 13, and shall record the consideration and its outcome.

Refusal to establish a relationship shall not be communicated in terms that would constitute tipping off under Section 14.

6.6 Accounts Opened with Deferred Verification

Where regulatory provisions permit an account to be opened on a limited basis pending completion of full verification, the following restrictions apply until verification is complete: aggregate credits shall not exceed

Rs. 1,00,000 in a financial year, the aggregate balance shall not exceed Rs. 50,000 at any time, and no foreign remittance shall be credited. The account shall be closed if verification is not completed within twelve months, after two written reminders.

6.7 Reliance on a Third Party

The Bank may rely on due diligence carried out by a regulated third party only where the records are made available immediately on request, the third party is subject to equivalent obligations and supervision, and the arrangement has been approved by the Chief Compliance Officer. Reliance does not transfer responsibility, which remains with the Bank in every case.

6.8 Prohibited Relationships

The Bank shall not open or maintain: an anonymous account; an account in a fictitious name; an account for a person who refuses to disclose the beneficial owner; or a correspondent relationship with an institution that has no physical presence in the jurisdiction of its licensing and is not part of a supervised group.

7. Beneficial Ownership

7.1 Requirement

The Bank shall identify the beneficial owner of every customer that is not an individual, and shall take reasonable measures to verify that identity, before the relationship is established.

7.2 Thresholds

Constitution	Beneficial owner
Company	Natural person holding more than 10% of shares, capital or profits, whether alone or together with others acting in concert
Partnership or limited liability partnership	Natural person entitled to more than 10% of capital or profits
Unincorporated association or body of individuals	Natural person entitled to more than 15% of the property, capital or profits
Trust	Author, trustees, beneficiaries with 10% or more interest, and any other natural person exercising ultimate effective control
Sole proprietorship	The proprietor, the concern having no separate legal personality

7.3 Control Through Other Means

Where no natural person is identified by reference to a threshold, the Bank shall consider whether any natural person exercises control through other means, including by contract, by rights over the appointment of directors, or through informal arrangement. The consideration shall be recorded.

7.4 Senior Managing Official

Where no natural person is identified under paragraph 7.2 or 7.3, the natural person holding the position of senior managing official shall be recorded as the beneficial owner, and the reason for resorting to this provision shall be documented. Recording a senior managing official is a measure of last resort and shall not be adopted as a matter of convenience; Compliance shall test the proportion of cases in which it has been used and investigate any business unit showing a disproportionate rate.

7.5 Layered Structures

Where ownership passes through one or more intermediate entities, the chain shall be traced to the natural persons at its end. Where the chain passes through a jurisdiction that does not maintain a beneficial ownership record, or where tracing is not possible, the relationship shall be categorised as high risk and referred to the Chief Compliance Officer before acceptance.

7.6 Updating

Beneficial ownership shall be confirmed at every periodic updation and whenever the Bank becomes aware of a change. A change in beneficial ownership of a customer categorised as medium or high risk shall trigger a fresh risk assessment.

8. Risk Categorisation and Enhanced Due Diligence

8.1 Risk Categorisation

Every customer shall be assigned a risk category of low, medium or high at onboarding, on the criteria in Annexure B, having regard to identity documentation, constitution, ownership structure, occupation or activity, source of funds, expected transaction profile, geography, delivery channel and any adverse information available to the Bank.

The category determines the depth of due diligence, the frequency of periodic updation and the intensity of monitoring.

Risk category	Due diligence	Periodic updation
Low	Standard	Once in ten years
Medium	Standard, with source-of-funds enquiry	Once in eight years
High	Enhanced, with senior approval	Once in two years

8.2 Categorisation Is Not Assumption

Risk categorisation shall be based on the customer's own circumstances. It shall not be assigned by reference to a customer's religion, caste, community, ethnicity, gender, place of birth, or any characteristic unrelated to the risk of money laundering or terrorist financing. Compliance shall test categorisation outcomes for any pattern suggesting that this paragraph is not being observed, and shall report the results to the Audit Committee annually.

8.3 Customers Requiring Enhanced Due Diligence

Enhanced due diligence shall be applied to: every customer categorised as high risk; every politically exposed person and their close relatives and close associates; every customer whose beneficial ownership could not be traced under paragraph 7.5; every non-face-to-face relationship not established through an approved digital onboarding process; every customer connected with a jurisdiction identified as presenting higher risk; and any customer where the Bank has reason to believe the relationship carries elevated risk.

8.4 Measures

Enhanced due diligence comprises: corroboration of the source of funds and the source of wealth from documentary evidence and not from declaration alone; where appropriate, a visit to the customer's premises with a report placed on file; acceptance of the relationship by an officer not below the rank of Assistant Vice President; enhanced ongoing monitoring with a lowered alert threshold; and review of the relationship at least annually.

8.5 Politically Exposed Persons

The Bank shall have systems to determine whether a customer, a beneficial owner or an authorised signatory is a politically exposed person, applied at onboarding and on an ongoing basis. Where a customer becomes a politically exposed person during the relationship, enhanced due diligence shall be applied from that point.

Establishing or continuing a relationship with a politically exposed person requires the approval of an officer not below the rank of Assistant Vice President, and where the relationship is with a foreign politically exposed person, of the Chief Compliance Officer.

A person shall not be refused a relationship solely by reason of being a politically exposed person. Status determines the intensity of due diligence, not eligibility.

8.6 Correspondent Relationships

A correspondent banking relationship shall be established only after assessment of the respondent's ownership and management, its business and customer base, its regulatory and supervisory status, its anti-money laundering controls, and any regulatory action against it. The responsibilities of each institution shall be recorded in writing. Approval requires the Chief Compliance Officer and the Managing Director.

8.7 Simplified Due Diligence

Where an activity, product or customer type is assessed as presenting a demonstrably low risk, and the assessment is recorded and approved by the Chief Compliance Officer, simplified measures may be applied. Simplified measures shall not be applied where there is a suspicion of money laundering or terrorist financing, and shall not extend to omitting identification of the customer or of the beneficial owner.

9. Periodic Updation and Ongoing Due Diligence

9.1 Requirement

The Bank shall keep customer information current, obtaining updated information and, where applicable, fresh documentation at the intervals in paragraph 8.1, and whenever it becomes aware that information held is no longer accurate.

9.2 What Is Required

Where there has been no change in the customer's particulars, a self-declaration to that effect suffices, and the Bank shall not require fresh documentation. Where the address has changed, a declaration of the new address suffices for a low-risk customer, and the Bank shall verify it within three months. Where identity documentation has expired, a current document shall be obtained.

The Bank shall not require a customer to attend a branch for periodic updation where the updation can be completed through a digital channel, by post or through the contact centre, and shall make each of those means available.

9.3 Notice Before Restriction

The Bank shall issue three advance notices before restricting operations in an account for want of periodic updation, at intervals of not less than thirty days, through every registered channel and by letter to the recorded address. Each notice shall state what is required, how it may be provided, and what will happen if it is not.

9.4 Restriction and Restoration

Where operations are restricted, credits shall continue to be accepted and the customer shall retain access to the balance for the purposes of meeting a statutory obligation, a loan instalment or a payment to the Bank. Full operations shall be restored within three business days of receipt of the required information, without charge.

An account shall not be closed for want of periodic updation without the approval of the Head of Compliance and not less than thirty days' further notice.

9.5 Ongoing Due Diligence

Throughout the relationship the Bank shall scrutinise transactions to ensure that they are consistent with its knowledge of the customer, the customer's business and risk profile, and where necessary the source of funds. Where transactions are inconsistent, the business unit shall seek an explanation, record it, and refer the matter to the Financial Intelligence Unit where the explanation is not satisfactory.

9.6 Trigger Events

The following shall trigger a review of the customer's risk categorisation and, where the review so indicates, a fresh due diligence exercise: a change in beneficial ownership; a change in the constitution of the customer; a material change in transaction pattern or volume; the customer becoming a politically exposed person; adverse media or regulatory information concerning the customer; a sanctions screening hit; the filing of a report under Section 13; and reactivation of a dormant account followed by substantial activity.

10. Sanctions and Prohibited Dealings

10.1 Prohibition

The Bank shall not establish or maintain a relationship with, or process a transaction involving, any person, entity or vessel designated under an applicable sanctions regime, or any person acting on their behalf. This prohibition is absolute and admits of no exception, commercial justification or waiver at any level of the Bank.

10.2 Lists

The Bank shall screen against the lists designated under the applicable domestic framework and against such other lists as the Chief Compliance Officer determines by reference to the jurisdictions and currencies in which the Bank operates. The lists in use shall be recorded, reviewed at least annually, and updated within twenty-four hours of a change being published.

10.3 When Screening Is Performed

Screening shall be performed: on every customer, beneficial owner and authorised signatory at onboarding; on the entire customer base whenever a list is updated; in real time on every cross-border payment against the payer, the payee and any intermediary named; and on every counterparty to a trade finance or correspondent transaction.

10.4 Handling a Potential Match

A potential match shall stop the transaction or the onboarding immediately. It shall be escalated to the Sanctions Desk within the Compliance function for adjudication, and shall not be cleared by the business unit that generated it.

Where the match is confirmed, the Bank shall freeze the funds or reject the transaction as the applicable framework requires, shall report to the designated authority within the timeline prescribed and in any event within twenty-four hours, and shall not inform the customer of the reason beyond what the framework permits.

Where the match is discounted, the reasons shall be recorded with the evidence relied upon, and the record shall be retained under Section 15.

10.5 No Dealing Pending Adjudication

A transaction that has generated a potential match shall not be released, and a relationship shall not be established, until the match has been adjudicated. Time pressure, customer inconvenience and commercial consequence are not grounds for release.

10.6 Screening Quality

The Sanctions Desk shall test screening effectiveness at least half-yearly by submitting known test cases through the live system, and shall record the detection rate. Fuzzy matching thresholds shall not be relaxed without the written approval of the Chief Compliance Officer, recorded with the analysis supporting it.

10.7 Reporting

The Chief Compliance Officer shall report to the Audit Committee each quarter on the alerts generated, the proportion adjudicated within the target, confirmed matches, freezes effected, and any instance in which a transaction was released before adjudication.

11. Anti-Money Laundering and Counter-Financing of Terrorism

11.1 Framework

The Bank maintains a framework to prevent its being used, knowingly or unknowingly, for money laundering or the financing of terrorism. The framework comprises the due diligence measures in Sections 6 to 9, the screening in Section 10, the monitoring in Section 12, the reporting in Section 13, the record retention in Section 15, and the training in Section 22.

11.2 Internal Policies and Controls

The Board shall approve the framework annually. The Chief Compliance Officer shall maintain the detailed procedures under it, shall assess their effectiveness annually, and shall report the assessment to the Board.

11.3 Institutional Risk Assessment

The Bank shall conduct an enterprise-wide money laundering and terrorist financing risk assessment at least annually, covering customers, products, delivery channels, geographies and transaction types, documenting the inherent risk, the controls and the residual risk for each. The assessment shall inform the risk categorisation criteria in Annexure B, the monitoring scenarios in Section 12 and the testing plan in Section 21.

11.4 Prohibition on Structuring by the Bank

No member of staff shall advise, assist or acquiesce in a customer structuring a transaction so as to avoid a reporting threshold, an authentication requirement or a due diligence trigger. Doing so is a disciplinary matter and shall be reported to the Chief Compliance Officer.

11.5 Cash Transactions

Cash transactions shall be accepted only within the limits prescribed by law and against the identification required. Cash transactions of Rs. 10,00,000 and above in a single transaction, and series of connected cash transactions aggregating to that amount within a month, shall be reported under paragraph 13.3.

11.6 Products Presenting Elevated Risk

The following shall be treated as presenting elevated risk and shall be subject to lowered alert thresholds: accounts of cash-intensive businesses; accounts through which third-party collections are routed; trade finance transactions; cross-border remittances; correspondent relationships; and any product introduced without a completed risk assessment under paragraph 5.5.

12. Transaction Monitoring

12.1 Requirement

Every account and relationship shall be subject to transaction monitoring, automated where volume requires it, calibrated to the customer's risk category, declared activity and expected transaction profile.

12.2 Expected Transaction Profile

The expected transaction profile shall be captured at onboarding, shall record the anticipated volume, value, frequency, counterparties and geographies, and shall be refreshed at every periodic updation and at every trigger event under paragraph 9.6. Monitoring calibrated against an absent or stale profile is not monitoring, and the absence of a profile shall be recorded as a control failure.

12.3 Scenarios

Monitoring scenarios shall be documented, shall state the risk each addresses, shall be tuned on the basis of outcome data, and shall be reviewed at least annually. A scenario shall not be disabled or its threshold raised without the written approval of the Chief Compliance Officer, recorded with the analysis supporting it.

Red flag indicators by product are set out in Annexure C and shall inform both automated scenarios and manual vigilance.

12.4 Alert Handling

Alert priority	Review to be completed within
High	3 business days
Medium	7 business days
Low	15 business days

An alert shall be reviewed by the Financial Intelligence Unit within the Compliance function and shall not be closed by the business unit that generated the activity. Every closure shall record the reason and the evidence considered. A reviewer shall not close an alert on the ground of workload, and a backlog shall be reported to the Chief Compliance Officer weekly.

12.5 Escalation

Where a reviewer forms a suspicion, the matter shall be escalated to the Principal Officer for a determination under Section 13. A reviewer who is uncertain shall escalate rather than close, and shall not be criticised for having done so.

12.6 Prohibition on Closing Alerts to Meet a Target

No target shall be set for alert closure rates, false positive rates or the proportion of alerts converted to reports, in a form that could influence a reviewer's judgement in an individual case. Productivity may be measured; outcome may not be directed.

12.7 Reporting

The Chief Compliance Officer shall report to the Audit Committee each quarter on alerts generated, reviewed within timeline, escalated and reported; the backlog by age; scenario changes made; and any business unit or product generating a disproportionate volume.

13. Reporting to the Financial Intelligence Authority

13.1 The Principal Officer

The Principal Officer is responsible for determining whether a report is required and for filing it. The determination is the Principal Officer's alone and shall not be directed, reviewed for approval, or overruled by any business officer, by the Managing Director, or by any committee.

13.2 Reports Required

Report	Subject	Timeline
Cash Transaction Report	Cash transactions above Rs. 10,00,000, and connected series aggregating to that amount in a month	By the 15th of the following month
Suspicious Transaction Report	A transaction giving rise to a reasonable ground of suspicion, whether or not completed	Within 7 working days of the Principal Officer's determination
Counterfeit Currency Report	Forged or counterfeit notes detected	By the 15th of the following month
Non-Profit Organisation Transaction Report	Receipts by a non-profit organisation above Rs. 10,00,000, or the foreign currency equivalent	By the 15th of the following month
Cross Border Wire Transfer Report	Cross-border wire transfers above the prescribed threshold	By the 15th of the following month

13.3 Attempted Transactions

A report shall be filed in respect of an attempted transaction that was not completed, including one abandoned by the customer when due diligence was sought, where the circumstances give rise to a suspicion. The fact that no money moved is not a reason not to report.

13.4 Grounds of Suspicion

A suspicion may arise from a transaction that appears to involve the proceeds of crime; that appears to be made in circumstances of unusual or unjustified complexity; that appears to have no economic rationale or bona fide purpose; that gives rise to a reasonable ground of suspicion that it may involve the financing of terrorism; or that is inconsistent with the customer's known profile and remains unexplained.

Suspicion is a lower standard than knowledge or proof. The Principal Officer is not required to establish that an offence has occurred, and the absence of proof is not a reason not to report.

13.5 Quality of Reports

A report shall set out the transactions, the parties, the reason for the suspicion and the enquiries made, in sufficient detail to be actionable. A report that merely recites that a threshold was crossed is not a report of suspicion and shall not be filed as one.

13.6 No Business Involvement in the Decision

A business officer shall not be asked to concur in a determination to report, shall not be informed that a report has been made, and shall not be given the opportunity to make representations against it. Where a business officer becomes aware of a report, Section 14 applies to them.

13.7 Continuing Relationship

The filing of a report does not by itself require the Bank to terminate the relationship or to refuse further transactions. The decision whether to continue is taken by the Chief Compliance Officer having regard to the risk, and shall be recorded. Where the relationship continues, it shall be subject to enhanced monitoring.

13.8 Records of Reports

Records of reports filed, of determinations not to report, and of the reasoning in each case shall be retained under Section 15 and shall be accessible only to the Principal Officer, the Chief Compliance Officer, the Designated Director and persons they authorise in writing.

14. Tipping Off

14.1 Prohibition

No person bound by this Manual shall disclose to a customer, to any person connected with a customer, or to any other person, that a report has been or may be filed, that information has been sought in connection with a report, or that an account, transaction or relationship is or may be under investigation.

14.2 Absolute Nature

This prohibition applies notwithstanding: a request by the customer; a complaint by the customer, including one made to the Banking Ombudsman; a demand from any person purporting to act for the customer; any commercial or relationship consideration; or an instruction from any officer of the Bank at any level. It admits of no exception.

14.3 What May Be Said

Where a customer asks why a transaction has been delayed, refused or reversed, or why information has been sought, staff shall say only that the Bank is required to seek the information, or that the transaction could not be processed, and shall not elaborate. Staff shall not deny that a report has been made, since a denial in one case implies confirmation in another.

Where a customer persists, the matter shall be referred to the Compliance function, which shall handle the correspondence.

14.4 Internal Confidentiality

Information about a report shall be confined to those with a need to know. A report shall not be discussed in a business meeting, recorded in a customer relationship system, or referenced in any document accessible to the business.

14.5 Breach

A breach of this Section is a serious disciplinary matter and shall be reported to the Chief Compliance Officer immediately on discovery, and by the Chief Compliance Officer to the Audit Committee and to the Financial Intelligence Authority where the applicable framework so requires.

15. Record Retention

15.1 Baseline

Records of the identity of customers and beneficial owners, of the evidence on which identity was verified, and of transactions, shall be retained for five years from the date of the transaction or from the date of cessation of the relationship, whichever is later.

15.2 Longer Periods Required by Product Policies

Where a product policy requires a longer period, that period applies to the records it covers. The following are recorded for the avoidance of doubt:

Records	Retention
Customer identity and transaction records, baseline	5 years
Personal, home and vehicle loan records	8 years from closure
Declined loan applications	3 years
Card transaction records	5 years from the transaction
Repossession records, including inventory and sale documentation	8 years from sale
Digital transaction logs and audit trails	8 years
Video-based identification recordings	5 years from establishment or cessation
Reports filed under Section 13, and determinations not to report	5 years from the date of the report or determination
Sanctions screening adjudications, including discounted matches	5 years
Recovery call recordings	1 year
Superseded versions of policies and this Manual	10 years

15.3 Matters Under Investigation

Where a record relates to a transaction, customer or matter that is the subject of an investigation, a report under Section 13, a regulatory enquiry or a legal proceeding, it shall be retained until the conclusion of that matter and any appeal, notwithstanding any period in paragraph 15.2.

15.4 Form and Accessibility

Records shall be retained in a form that permits reconstruction of individual transactions and that is capable of being produced to the regulator or the Financial Intelligence Authority promptly on request. A record held only by an outsourced service provider is not adequately retained; the Bank shall hold or be able to obtain it immediately.

15.5 Prohibition on Destruction or Alteration

No record shall be destroyed, altered, backdated or removed once the Bank is aware, or ought reasonably to be aware, that it may be relevant to an investigation, an enquiry or a proceeding. A person who does so,

or who directs that it be done, commits a serious disciplinary offence, and the matter shall be reported to the Audit Committee and to the regulator.

15.6 Deletion at the End of the Period

Records shall be deleted at the end of the applicable period unless paragraph 15.3 applies. Retention beyond the period without a recorded basis is itself a data protection failure under Section 17.

16. Fair Practices and Customer Protection

16.1 Standards

The Bank adopts the following as binding standards of conduct, applicable to every product and channel and enforceable through the disciplinary process:

- Every communication with a customer shall be in a language the customer understands.
- The full cost of a product shall be disclosed before the customer is asked to commit, and a charge not disclosed shall not be recovered.
- Consent to one product is not consent to another. Insurance, instalment plans, add-on products and marketing each require separate consent, obtained after separate disclosure.
- A product shall not be recommended that is unsuitable for the customer's stated needs, and a customer shall not be steered to a variant carrying obligations the customer does not require.
- A customer exercising a right under a policy shall not be obstructed, delayed, or made to repeat a request the Bank has already received.
- A customer shall not be charged for making a complaint, for correcting the Bank's error, or for a service the customer did not request.
- Collection and recovery shall be conducted within the conduct standards of the applicable lending policy, which admit of no exception.

16.2 Grievance Redressal

Every grievance shall be acknowledged, tracked through a unique reference number, and closed only with a substantive response. The escalation matrix is uniform across the Bank:

Level	Authority	Resolution time
1	Branch Manager or the service manager for the product	7 business days
2	Regional Nodal Officer	14 business days
3	Principal Nodal Officer	21 business days
4	Internal Ombudsman	30 days
5	External Banking Ombudsman	As prescribed by the scheme

16.3 Internal Ombudsman

Every grievance the Bank proposes to reject wholly or partly shall be referred to the Internal Ombudsman before the decision is communicated to the customer. The Bank shall not communicate a rejection that has not been so referred. Where the Internal Ombudsman disagrees, the matter shall be decided in the customer's favour unless the Managing Director records reasons in writing for a contrary decision, which shall be reported to the Customer Service Committee.

The Internal Ombudsman shall be independent of the business, shall not have been an employee of the Bank in the preceding three years, and shall report to the Board through the Customer Service Committee.

16.4 Root Cause Analysis

The Customer Service Committee shall review grievance data each quarter, identify the ten most frequent root causes, and commission corrective action with named owners and dates. Recurrence of a root cause across three consecutive quarters shall be escalated to the Board.

16.5 Compensation

Where a policy provides for compensation for a failure by the Bank, it shall be credited automatically without the customer having to claim it. Compliance shall test automatic crediting at least half-yearly and shall report failures as a control breach.

16.6 Publication

The Bank shall publish on its website each quarter the number of grievances received, resolved and pending, categorised by type and product, together with the number referred to the Internal Ombudsman and their outcomes.

17. Data Protection and Privacy

17.1 Confidentiality

Information relating to a customer is confidential, and the duty survives the closure of the relationship. Disclosure is permitted only where compelled by law or by an order of a competent authority, where there is a duty to the public to disclose, where the interests of the Bank require it and then only to the minimum extent necessary, or where the customer has given express and informed consent.

17.2 Collection and Purpose

The Bank shall collect only such personal data as is necessary for the purpose, shall state the purposes at the point of collection, and shall not use the data for any incompatible purpose. Data collected for a regulatory purpose shall not be used for marketing.

17.3 Consent

A consent shall be specific to a purpose, freely given, capable of being refused without consequence to the customer's existing services, and capable of being withdrawn as easily as it was given. Consent shall not be inferred from silence, from continued use of a service, or from acceptance of unrelated terms.

17.4 Access, Correction and Security

A customer is entitled to a copy of the personal data held about them and to require correction of any inaccuracy, which shall be given effect within ten business days or refused in writing with reasons. Access to customer data within the Bank shall be on the principle of least privilege, attributable to a named individual, and logged, with logs reviewed monthly.

17.5 Localisation

Payment system data shall be stored in systems located in India as the applicable direction requires. The Bank shall maintain a register of every system in which customer data is stored, its location and the basis on which that location is permitted, and shall report it annually to the Risk Management Committee.

17.6 Breach Notification

A suspected breach shall be reported to the Chief Information Security Officer within two hours of detection and to the Chief Compliance Officer immediately thereafter. Where a breach is confirmed and is likely to cause harm, affected customers shall be notified directly and without undue delay, with a description of the data involved and the steps they should take, and the regulator notified within the timeline prescribed.

18. Outsourcing and Third Party Governance

18.1 Principle

Outsourcing does not transfer the Bank's responsibility to its customers or to the regulator. An act or omission of a service provider is treated as an act or omission of the Bank, and shall not be relied upon to assert that a deficiency lay outside the Bank.

18.2 Material Outsourcing

An arrangement is material where its failure would materially disrupt the Bank's operations, affect a significant number of customers, or breach a regulatory obligation. Material outsourcing requires the approval of the Board or a committee to which the Board has delegated it, and shall be recorded in the outsourcing register maintained by Compliance.

18.3 Due Diligence and Contract

Before engagement the Bank shall assess the provider's financial standing, capability, information security posture, conduct record, sub-contracting practices, business continuity arrangements and concentration of the Bank's activity. Every agreement shall provide for confidentiality no less stringent than the Bank's own; audit and inspection rights for the Bank, its auditors and the regulator; the location of data; a prohibition on sub-contracting without written consent; defined service levels; incident notification within two hours; return or irreversible deletion of data on termination; and a tested exit plan.

18.4 Activities Not Outsourced

The following shall not be outsourced: the compliance function itself; the determination whether to file a report under Section 13; the adjudication of a sanctions match; the decision to sanction a credit facility; the verification of a customer's identity, which shall be completed by an employee of the Bank; and the handling of a grievance at Level 2 and above.

18.5 Monitoring

Material arrangements shall be reviewed at least quarterly against agreed service levels and reassessed annually for security and conduct. Concentration shall be assessed annually and reported to the Risk Management Committee with the exit plan for each material provider.

19. Conflicts, Gifts, Personal Dealing and Insider Trading

19.1 Conflicts of Interest

A person bound by this Manual shall disclose any interest that conflicts, or may reasonably appear to conflict, with their duty to the Bank, and shall take no part in a decision affected by it. Disclosure shall be made to the Chief Compliance Officer and recorded in the conflicts register.

19.2 Related Party Dealings

A relationship with, or a facility to, a director, an officer, a relative of either, or an entity in which any of them has an interest, shall be identified as such, dealt with on terms no more favourable than those available to any other customer, approved at one level above the ordinary authority, and reported to the Audit Committee quarterly.

19.3 Gifts and Hospitality

A gift, hospitality or benefit from a customer, a supplier, a service provider or a prospective counterparty shall not be accepted where it could reasonably influence, or appear to influence, a decision. Any gift or hospitality exceeding a nominal value shall be declared in the gifts register within five business days and may be retained only with the approval of the Chief Compliance Officer.

Cash and cash equivalents shall not be accepted in any amount or in any circumstance.

19.4 Personal Account Dealing

Employees shall deal in securities only through accounts declared to Compliance, shall not deal in a security on the restricted list, and shall observe the minimum holding period prescribed in the personal dealing procedure. Pre-clearance is required for dealing above the threshold set by the Chief Compliance Officer.

19.5 Insider Trading and Unpublished Price Sensitive Information

A person in possession of unpublished price sensitive information concerning the Bank or any other entity shall not deal in the relevant securities, shall not communicate the information except in the lawful performance of duty, and shall not procure another to deal. The Bank shall maintain a structured digital database of persons with whom such information is shared, and shall operate closure periods for dealing in its own securities as prescribed.

19.6 Anti-Bribery

No person bound by this Manual shall offer, give, solicit or accept a bribe or any improper advantage, whether directly or through a third party, to obtain or retain business or a regulatory or commercial advantage. Facilitation payments are bribes and are prohibited. An approach seeking such a payment shall be reported to the Chief Compliance Officer immediately.

20. Whistleblowing and Protected Disclosures

20.1 The Channel

The Bank shall maintain a channel through which any employee, agent, service provider or customer may report, in confidence, a concern about a breach of law, regulation, this Manual or the Bank's standards of conduct. The channel shall be operated independently of line management, shall permit anonymous reporting, and shall be reachable without the knowledge of any person in the reporter's reporting line.

Disclosures shall be received by the Chief Compliance Officer and, where the disclosure concerns the Chief Compliance Officer, the Managing Director or a director, by the Chairman of the Audit Committee directly.

20.2 Protection

A person who makes a disclosure in good faith shall not be subject to dismissal, demotion, transfer, adverse appraisal, withdrawal of authority, exclusion or any other detriment by reason of having made it, whether or not the concern is substantiated. Any such detriment is a serious disciplinary offence.

The identity of a reporter shall not be disclosed without their written consent, save where disclosure is compelled by law, and shall not be disclosed to the person who is the subject of the disclosure in any circumstance.

20.3 Investigation

Every disclosure shall be acknowledged within three business days where a means of contact is available, assessed within ten business days, and investigated by a person independent of the matter and of the persons involved. The reporter shall be informed of the outcome to the extent permitted.

20.4 Reporting to the Audit Committee

The Chief Compliance Officer shall report every disclosure to the Audit Committee at its next meeting, including those assessed as requiring no further action, and shall report separately any allegation of detriment under paragraph 20.2. The Audit Committee shall satisfy itself that no disclosure has been closed without adequate assessment.

20.5 Good Faith

Protection extends to a disclosure made in good faith that proves unfounded. It does not extend to a disclosure made knowing it to be false, which is a disciplinary matter.

21. Testing, Regulatory Engagement and Breach Management

21.1 Compliance Testing

Compliance shall conduct a programme of thematic testing determined by the annual compliance risk assessment, covering every material obligation over a cycle not exceeding two years and every high-risk obligation at least twice each financial year. Testing shall be conducted independently of the business tested, shall examine outcomes and not only documentation, and shall test a sample of actual customer files.

21.2 Findings and Remediation

Every finding shall be rated, assigned to a named owner with a date, and tracked to closure. A finding shall be closed only on evidence of effective remediation verified by Compliance, and not on management's assertion that it has been addressed. An overdue high-rated finding shall be escalated to the Audit Committee.

21.3 Internal Audit

Internal Audit shall independently assess the design and operating effectiveness of the compliance framework, including the work of the Compliance function itself, and shall report to the Audit Committee.

21.4 Regulatory Correspondence

All correspondence with the regulator shall be routed through the Compliance function, which shall maintain a register of every communication received and sent, the deadline for response, and the response given. A response shall not be sent without the Chief Compliance Officer's clearance. A communication received by any officer directly shall be forwarded to Compliance on the day of receipt.

21.5 Inspections

During a regulatory inspection the Bank shall provide complete and accurate information promptly. No record shall be withheld, altered, created, backdated or destroyed. No person shall be instructed as to what to say. Where an inspector's question cannot be answered immediately, the fact shall be stated and the answer provided as soon as it is available.

A single point of contact shall be nominated for each inspection. Findings shall be assigned owners and dates and tracked to closure by Compliance, and the closure position shall be reported to the Audit Committee at each meeting until every finding is closed.

21.6 Breach Identification and Classification

A breach of an obligation in the Compliance Obligations Register, of this Manual, or of a product policy shall be recorded on discovery and classified under Annexure D. Classification shall be by impact and not by the seniority of the person responsible or the anticipated consequence of disclosure.

21.7 Self-Reporting

Where a breach is of a nature required to be reported to the regulator, it shall be reported within the timeline prescribed and in any event promptly, without waiting for the investigation to conclude. The Bank shall not delay a report in order to present it alongside a remediation plan. The decision to report is the Chief Compliance Officer's and shall not be overruled.

21.8 Customer Remediation

Where a breach has caused customer detriment, the Bank shall identify every affected customer, shall remediate without requiring them to claim, shall inform them of what occurred and what has been done, and shall not make remediation conditional on a waiver or a release.

21.9 Reporting to the Board

The Chief Compliance Officer shall report to the Audit Committee at each meeting on the testing programme and its findings, breaches by classification, self-reports made, regulatory correspondence and inspection findings, and to the Board at least half-yearly on the overall state of compliance including any matter the Chief Compliance Officer considers the Board should know.

22. Training, Roles and Manual Review

22.1 Training

Every person bound by this Manual shall complete compliance training within thirty days of joining or engagement and annually thereafter, covering customer due diligence, sanctions, money laundering and terrorist financing typologies relevant to their role, tipping off, fair practices, data protection, conflicts and whistleblowing.

Role-specific certification is a condition of authorisation for the following activities, and a person whose certification has lapsed shall not perform them:

Activity	Certification required
Opening accounts or completing due diligence	Sections 6 to 9
Conducting video-based customer identification	Section 6 and the Digital Banking Policy
Adjudicating a sanctions match	Section 10
Reviewing a monitoring alert	Sections 11 and 12
Determining or filing a report	Sections 13 and 14
Recovery contact or repossession	The conduct sections of the applicable lending policy
Handling a grievance at Level 2 or above	Section 16

22.2 Training Effectiveness

Completion is not effectiveness. Compliance shall assess understanding by testing, shall analyse failures by role and location, and shall retrain where results indicate that the material has not been absorbed. Where a control failure is traced to a gap in understanding, the training shall be revised and the revision recorded.

22.3 Responsibility Matrix

Role	Responsibility
Board of Directors	Approval of this Manual and of the AML/CFT framework; appointment and removal of the Chief Compliance Officer; oversight of compliance
Audit Committee	Functional oversight of Compliance; recommendation of appointments; review of testing, breaches, disclosures and inspection findings
Risk Management Committee	Compliance risk in the enterprise risk framework; outsourcing concentration; data localisation register
Customer Service Committee	Grievance root causes; Internal Ombudsman reporting
Designated Director	Overall responsibility for AML/CFT compliance
Chief Compliance Officer	This Manual; the Obligations Register; testing; regulatory engagement; breach classification and self-reporting; new product approval
Principal Officer	Determination and filing of reports under Section 13
Chief Information Security Officer	Data security and breach response under Section 17

Role	Responsibility
Internal Ombudsman	Review of proposed grievance rejections
Heads of business and function	Compliance within their unit; half-yearly attestation under paragraph 5.4
Internal Audit	Independent assurance on the framework and on Compliance itself

22.4 Matters Not Subject to Exception

The following admit of no exception, and no officer of the Bank at any level may authorise a departure from them:

- The prohibition on dealing with a designated person under paragraph 10.1.
- The prohibition on releasing a transaction before a sanctions match is adjudicated under paragraph 10.5.
- The independence of the Principal Officer's determination under paragraph 13.1.
- The prohibition on tipping off under Section 14.
- The prohibition on destruction or alteration of records under paragraph 15.5.
- The protection of a person making a disclosure in good faith under paragraph 20.2.
- The conduct of a regulatory inspection under paragraph 21.5.
- The obligation to self-report under paragraph 21.7.

22.5 Manual Review and Amendment

This Manual shall be reviewed at least once every financial year by the Chief Compliance Officer, and placed before the Board through the Audit Committee. An interim amendment may be initiated on a change in regulatory direction, a finding from testing, audit or inspection, a material breach, or a change in the Bank's business. Where a regulatory direction takes effect before the Manual can be amended, the direction applies from its effective date and Compliance shall issue an interim instruction under paragraph 5.3.

An approved amendment shall be communicated to all persons bound within seven days, incorporated into training within thirty days, and reflected in every affected product policy within ninety days. Compliance shall maintain a record of product policies not yet aligned and report it to the Audit Committee at each meeting until alignment is complete.

The version history is maintained in Annexure E and superseded versions retained for ten years.

Annexure A: Identification Documents

A.1 Officially Valid Documents for an Individual

Any one of the following, containing name, photograph and address:

- Passport
- Driving licence
- Voter identification card
- Job card issued under a national employment guarantee scheme, signed by a State Government officer
- Letter issued by the national identity authority containing name, address and identity number
- Any other document notified by the Central Government in consultation with the regulator

A.2 Deemed Officially Valid Documents

Where the document submitted does not contain the current address, any one of the following, not older than two months, is accepted as proof of current address, subject to an updated document being submitted within three months: a utility bill for electricity, telephone, piped gas or water; a property or municipal tax receipt; a pension payment order issued to a retired employee by a government department or public sector undertaking; or a letter of allotment of accommodation from, or a leave and licence agreement with, an employer.

A.3 Non-Individual Customers

Constitution	Documents
Sole proprietorship	OVD of the proprietor; any two documents evidencing the activity and existence of the concern
Partnership firm	Partnership deed; registration certificate where registered; authorisation naming signatories; PAN of the firm
Limited liability partnership	Incorporation certificate; LLP agreement; identification number; resolution of designated partners
Company	Certificate of incorporation; memorandum and articles; board resolution; list of directors with identification numbers
Hindu Undivided Family	Declaration by the Karta; list of coparceners; PAN of the family
Trust	Trust deed; registration certificate; resolution of trustees; list of trustees, settlor and beneficiaries
Society, club or association	Registration certificate; memorandum and rules; resolution of the managing committee; list of office bearers
Government body	Constituting notification or order; authorisation from the competent authority; attested specimen signatures

In every case the Bank shall additionally obtain OVDs and photographs for every authorised signatory and every beneficial owner identified under Section 7.

Annexure B: Risk Categorisation Criteria

Factor	Lower risk	Higher risk
Identity documentation	Complete, current, independently verified	Incomplete, expired, or verified only by declaration
Constitution	Individual, listed company, government body, regulated entity	Trust, unregistered association, layered corporate structure
Beneficial ownership	Traced to named natural persons	Untraceable, nominee holdings, senior managing official recorded by default
Activity	Salaried employment, pension, established profession	Cash-intensive trade, dealing in high-value goods, third-party collection, unregistered activity
Source of funds	Verified from salary, business or documented sale	Unexplained, inconsistent with profile, or from a third party
Geography	Customer, activity and counterparties within India	Connection with a jurisdiction identified as higher risk, or with no declared business connection
Delivery channel	Face-to-face or approved digital onboarding	Non-face-to-face outside an approved process; introduced by an agent with an adverse record
Politically exposed status	Not a PEP	PEP, close relative or close associate
Adverse information	None	Adverse media, regulatory action, prior report filed, connection to a fraud-classified account
Transaction profile	Consistent with declared activity	Materially inconsistent, or no profile captured

A customer presenting any factor in the higher risk column shall be assessed for high-risk categorisation, and the assessment recorded. Two or more such factors shall ordinarily result in high-risk categorisation, and a decision to the contrary requires the approval of the Chief Compliance Officer.

Annexure C: Red Flag Indicators

C.1 Deposit Accounts

- Cash deposits or withdrawals large relative to the profile, or structured just below a reporting or authentication threshold.
- Rapid movement of funds with a negligible retained balance.
- Credits from a large number of unrelated parties into an individual's account.
- Activity inconsistent with the stated occupation or income.
- Substantial activity shortly after reactivation from dormancy.
- Reluctance to explain the source of funds or the identity of counterparties.

C.2 Current Accounts and Entities

- Turnover materially inconsistent with declared activity, scale or tax filings.
- Transfers to or from jurisdictions with no declared business connection.
- Frequent changes of authorised signatories or beneficial owners without a corresponding change in the business.
- No operational premises, no employees, an address shared with many unrelated entities, or nominee directors.
- Third-party collections routed through an account whose declared activity does not involve them.

C.3 Term and Recurring Deposits

- A deposit funded in cash disproportionate to the known profile.
- A long deposit broken shortly after placement with apparent indifference to the penalty.
- A deposit funded by, or pledged for, a third party with no established connection.
- Repeated placement and premature withdrawal lacking economic purpose.

C.4 Cards and Digital Channels

- Repeated withdrawals just below a threshold.
- Full withdrawal of every credit with a negligible retained balance.
- Usage inconsistent with the recorded address and travel pattern, especially after a recent change of contact details.
- Multiple accounts or cards sharing a device identifier, address or contact number.
- Concentration at a single merchant or a merchant category inconsistent with the profile.

C.5 Lending

- A loan repaid in full shortly after disbursement from an unexplained source.
- An application supported by documents that are inconsistent, altered or duplicated across applicants.
- A borrower indifferent to the rate or to the foreclosure charge.
- Repayment consistently from an account of a third party with no declared connection.
- A property or vehicle transaction at a value materially divergent from the independent valuation.

Annexure D: Breach Classification

Severity	Definition	Notification	Remediation plan
Critical	Breach causing or capable of causing significant customer detriment, significant regulatory sanction, or involving a sanctions or terrorist financing failure	CCO immediately; Audit Committee Chairman within 24 hours; regulator per paragraph 21.7	Within 5 business days
High	Systemic breach affecting a class of customers, or a repeated breach previously identified	CCO within 1 business day; Audit Committee at next meeting	Within 10 business days
Medium	Breach affecting individual customers or a single process, contained on discovery	CCO within 5 business days; reported in the quarterly pack	Within 20 business days
Low	Isolated procedural lapse with no customer detriment	Recorded in the breach register	Within 30 business days

Classification is by impact. It shall not be influenced by the seniority of the person responsible, by the anticipated regulatory consequence, or by the commercial sensitivity of disclosure. A classification may be raised at any time; it may be lowered only by the Chief Compliance Officer with reasons recorded, and every lowering shall be reported to the Audit Committee.

Annexure E: Abbreviations and Version History

E.1 Abbreviations

Abbreviation	Expansion
AML	Anti-Money Laundering
CCO	Chief Compliance Officer
CDD	Customer Due Diligence
CFT	Counter-Financing of Terrorism
CISO	Chief Information Security Officer
CTR	Cash Transaction Report
EDD	Enhanced Due Diligence
FIU	Financial Intelligence Unit
KYC	Know Your Customer
LLP	Limited Liability Partnership
OVD	Officially Valid Document
PAN	Permanent Account Number
PEP	Politically Exposed Person
STR	Suspicious Transaction Report
UPSI	Unpublished Price Sensitive Information
V-CIP	Video-Based Customer Identification Process

E.2 Version History

Version	Date	Approved by	Summary of change
5.0	22 July 2020	Board of Directors	Consolidated reissue as a single Manual
5.1	15 April 2021	Board of Directors	Chief Compliance Officer given a fixed term; removal made subject to Board approval and regulatory intimation
6.0	09 March 2022	Board of Directors	Introduction of the Compliance Obligations Register and the attestation regime in Section 5
6.1	24 November 2022	Board of Directors	Beneficial ownership thresholds revised; senior managing official made a measure of last resort
6.2	18 August 2023	Board of Directors	Introduction of Section 20; whistleblower protection extended to agents and service providers
7.0	12 June 2024	Board of Directors	Rewrite of Sections 12 and 13; alert closure targets prohibited; the Principal Officer's determination made unreviewable

Version	Date	Approved by	Summary of change
7.1	14 April 2026	Board of Directors	Current version. Manual made expressly paramount over product policies in paragraph 1.2; paragraph 8.2 introduced; matters not subject to exception consolidated in paragraph 22.4; Annexures B, C and D introduced